enterprise bought in the Austin assets, subject to various liabilities, for only \$5,000. They then turned over their purchase, plus \$500 in cash, to the new company for 300,000 shares of its common stock. In other words, the entire common issue cost the promoters \$5,500 cash plus their time and effort.

The prospectus stated—what was an obvious fact—that the preference stock was "offered as a speculation." That speculation could work out successfully only if the conversion privilege proved valuable, since the mere 6% return on a preferred stock was scarcely an adequate reward for the risk involved. (The character of the risk was shown clearly enough in the enormous losses of the predecessor company.) But note that before the conversion privilege could be worth anything, the common stock would have to sell for more than \$$3^1/_3$ per share—and *in that case the* \$5,500 *investment of the organizers would be worth over* \$1,000,000. In other words, before the public could make *any* profit, the organizers would have to multiply their stake 180 *times*.

Sequel. By June 30, 1939, the company had accumulated a deficit of \$750,000; it was compelled to borrow money from the R.F.C., and the preferred-stock holder no longer had any equity in current assets. The price of the preference stock declined to 3, but at the same time the common was quoted at $^3/_4$ bid. This meant (if the quoted price could be trusted) that, although the public had lost 70% of its investment, the organizers' \$5,500 contribution had still a nominal market value of \$225,000.

Example B: Aeronautical Corporation of America, December 1939. This company offered to the public 60,000 shares of new common stock at \$6.25 per share. The "underwriters," who made no firm commitment to take any shares, received on the sale of each share the following three kinds of compensation: (1) 90 cents in cash; (2) $^1/_{20}$ of a share of stock, ostensibly worth 31 cents, donated by the principal stockholders; (3) a warrant to buy $^1/_2$ share of stock at prices varying between \$6.25 and \$8.00 per share. If the common stock was fairly worth the \$6.25 offering price, these warrants were undoubtedly worth at least \$1 per share called for. This would mean an aggregate commission for selling effort of \$2.34 per share, or more than one-third the amount paid over by the public.

The company had been in business since 1928 and had been manufacturing its light Aeronca planes since 1931. Its business had grown steadily from \$124,000 sales in 1934 to about \$850,000 sales in 1939.